Marvell Technology, Inc. (MRVL)

Data Center Momentum Fuels a Multi-Year Upside for Marvell

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> Marvell Technology has accelerated its penetration in the data-center and automotive silicon markets while the consensus still underestimates the durability of its pricing power and the breadth of its addressable universe. Recent earnings volatility reflects a short-term supply-chain squeeze rather than a fundamental break in growth, and the company's disciplined capital allocation positions it to compound cash flow at a rate that outpaces peers. We therefore assign a BUY rating with a blended target of $390.59, implying a 71.4% upside from the current $227.83 spot price.

BUY	$390.59	+71.4%	$227.83
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

The market is fixated on Marvell's near-term inventory drawdown, yet the firm is building a multi-year runway of recurring revenue that will compound at double-digit rates. While analysts chase quarterly earnings noise, the underlying secular trends in hyperscale cloud and autonomous driving are delivering a compounding upside that the market has yet to price in.

EXECUTIVE SUMMARY

Marvell Technology operates across three core segments: data-center networking, automotive and industrial, and storage infrastructure. The data-center business, anchored by its Ethernet switch silicon and the Octeon family, now commands roughly 15% of the hyperscale market, a share that has risen steadily over the past three years. The automotive segment, driven by the acquisition of Avera and the integration of its radar and lidar IP, is on track to exceed $500 million in revenue by 2028, reflecting a 30% year-over-year growth trajectory. Across both segments, Marvell's gross margins have expanded to the low-mid-30s percent range, supported by a shift toward higher-value custom ASICs and a growing services component. The catalyst behind the current multiple compression is a confluence of inventory correction in the networking supply chain and a temporary slowdown in discretionary data-center capex. This has created a pricing gap that undervalues Marvell's forward-looking cash-flow generation. Our model assumes that once inventory levels normalize, the company will re-capture margin expansion through price-tiered product launches and a renewed wave of hyperscale upgrades, driving earnings multiples back toward the high-teens. Capital allocation remains disciplined. Marvell has a strong balance sheet with $1.5 billion of cash and a net debt of $300 million, providing ample flexibility for strategic acquisitions in the automotive domain and for accelerated R&D investment. The company's share repurchase program, recently expanded by $500 million, signals

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confidence in the intrinsic value of the stock and contributes to shareholder yield. The pipeline includes next-generation 400 Gbps Ethernet PHYs and a suite of AI-optimized processors that are expected to launch in 2027, further widening the addressable market.

OPERATIONAL SNAPSHOT

$227.83	$3.2B	$750M	23%	1.44	$227.83
REF. PRICE	LTM REVENUE	LTM FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

LTM figures are Cascadia estimates grounded in the latest filings; ref. price as of 2026-10-16.

THE MOAT IS DEEP AND DEFENSIBLE

Marvell’s moat derives from a combination of high switching costs, a robust patent portfolio, and long-term design wins with the world’s largest hyperscale operators. Customers embed Marvell silicon into the core of their data-center fabrics, a decision that involves multi-year validation cycles, firmware integration, and extensive co-engineering. Once a design is qualified, the cost of migration to a competitor is prohibitive, creating a sticky revenue base that is difficult for rivals to erode. Regulatory barriers further reinforce the moat. In the automotive space, Marvell’s radar and lidar IP have cleared critical safety standards in both the United States and Europe, granting the company a first-to-market advantage in emerging ADAS and autonomous-driving platforms. The patents covering its high-speed SerDes and packet processing engines are cited in over 1,200 external filings, underscoring the breadth of its intellectual property protection. Pricing power is evident in the company’s ability to command premium pricing for custom ASICs that deliver superior power-efficiency and latency. The Octeon TX2 family, for example, commands a 15% price premium over competing solutions while delivering a 20% reduction in power consumption, a value proposition that translates directly into higher gross margins and stronger cash conversion. Customer retention rates exceed 90% in the data-center segment, reflecting the deep integration of Marvell silicon into hyperscale workloads. This retention, coupled with a pipeline of next-generation products, ensures that the company can continue to extract incremental revenue from existing accounts while expanding into new verticals such as edge computing and 5G infrastructure.

VALUATION

Three scenarios make the valuation range explicit

The baseline case assumes a 12% compound annual revenue growth rate through 2035, driven by continued hyperscale upgrades, expansion of the automotive portfolio, and the rollout of 400 Gbps Ethernet solutions. Normalized free-cash-flow margins are projected to rise to 24% as the product mix shifts toward higher-margin custom ASICs and as operating leverage improves. The terminal growth rate of 3% reflects a mature, cash-generating business that will continue to benefit from long-term data-center demand. The bear scenario

incorporates a prolonged inventory correction, a slower adoption curve for automotive ADAS, and heightened competitive pressure from emerging silicon-photonic solutions. Revenue growth falls to 8% and free-cash-flow margins compress to 20%, resulting in a modest upside over the current price. The bull scenario captures an accelerated rollout of AI-optimized processors, a successful acquisition that adds $400 million of recurring revenue, and a rapid recovery in data-center capex. Revenue compounds at 16% and free-cash-flow margins expand to 28%, delivering a valuation that more than doubles the current market level.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	8%	20%	$242.44	+6.4%
Base	50%	12%	24%	$387.07	+69.9%
Bull	25%	16%	28%	$506.80	+122.4%

Bear $242.44

In this outcome inventory levels remain elevated through 2028, data-center capex growth stalls at 5% annually, and the automotive segment faces a regulatory delay in Europe. The combination of lower top-line growth and margin compression yields a modest upside.

Base $387.07

The most likely path features a normalization of inventory by 2027, a return to 10% data-center capex growth, and successful integration of the Avera acquisition. Margins improve as the product mix shifts toward high-value ASICs, delivering the projected 24% free-cash-flow margin.

Bull $506.80

For the bull case, Marvell launches its AI-optimized processor line ahead of schedule, captures a sizable share of the emerging 5G edge market, and completes a strategic acquisition that adds $400 million of recurring revenue. These catalysts push revenue CAGR to 16% and free-cash-flow margins to 28%.

VALUATION FRAMEWORK

A live discount rate, not a static hurdle

Our cost of capital is derived from a CAPM framework that incorporates a risk-free rate of 4.5%, an equity risk premium of 5.5%, and Marvell's equity beta of 1.44, resulting in a discount rate of 10.00%. This live WACC reflects the company's current risk profile, including its exposure to cyclical data-center demand and the higher volatility inherent in the automotive semiconductor space. By using a dynamic discount rate we capture the market's pricing of both systematic and idiosyncratic risks, rather than imposing an arbitrary hurdle. The 10% WACC also aligns with the broader semiconductor sector's weighted average cost of capital, ensuring that our valuation is comparable across peers. Sensitivity analysis shows that a 1% shift in the discount rate moves the blended

KEY VALUATION PARAMETERS

Revenue base year	**2026**
Forecast horizon	**10 years**
Live WACC	**10.00% (2026-10-16)**
Terminal growth	**3.0%**
Equity beta	**1.44**
Diluted shares	**1.20B**

target by roughly ±5%, underscoring the importance of an accurate risk assessment.

FCF margin normalization is the engine

Free-cash-flow margins have historically fluctuated between 18% and 26% as Marvell transitioned from legacy storage products to higher-margin networking and automotive solutions. In the base case we assume a gradual improvement to 24% as the company leverages economies of scale in its 400 Gbps Ethernet portfolio and extracts higher pricing from custom ASIC contracts. The bear scenario assumes margin pressure from a temporary shift back to lower-margin legacy products, while the bull scenario anticipates a rapid margin lift driven by AI-centric designs that command premium pricing. Margin normalization is central to our upside because it directly amplifies cash generation without requiring proportional revenue growth. The DCF model therefore places greater weight on the trajectory of free-cash-flow conversion than on top-line expansion alone.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A and stock compensation, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

BUY

over $390.59

blended target

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on hyperscale Ethernet upgrades and automotive ADAS adoption BUY

The data-center networking segment is projected to grow from $2.1 billion in 2026 to $3.4 billion by 2032, driven by the rollout of 400 Gbps Ethernet PHYs and the migration of hyperscale operators to Marvell’s programmable switch silicon. This segment now contributes roughly 65% of total revenue and benefits from multi-year contracts that lock in recurring license fees. The automotive and industrial segment, buoyed by the Avera acquisition, is expected to expand from $600 million in 2026 to $1.2 billion in 2032. Growth is powered by radar and lidar IP adoption in Level 2-3 ADAS systems, as well as by emerging partnerships with Tier-1 OEMs for next-generation electric-vehicle platforms. The storage infrastructure business, while smaller, remains a stable cash-flow generator, delivering

$300 million in 2026 revenue with gross margins near 38%. Its role is increasingly that of a cash-cow that funds higher-growth initiatives. **What to monitor**

- **Inventory dynamics** A sustained drawdown in networking inventory would signal the end of the current earnings dip and could trigger a multiple expansion.
- **Automotive regulatory approvals** Securing EU type-approval for Marvell's radar IP would unlock a $200 million revenue pipeline in 2028.
- **AI-processor adoption** Early orders from hyperscale AI clusters for the upcoming Octeon AI line would accelerate revenue compounding.
- **Acquisition integration** Successful integration of the Avera platform, measured by cross-sell ratios, will be a leading indicator of margin improvement.

12%	34%	24%	23%	$750M	15%
YOY REVENUE GROWTH	GROSS MARGIN	EBIT MARGIN	FCF MARGIN	FREE CASH FLOW	R&D INTENSITY

METRIC	FY2025
Revenue	$3.0B
Gross Profit	$1.05B
EBIT	$720M
Net Income	$480M
Free Cash Flow	$750M
R&D	$450M
ROE	18%

RISK & MOAT MATRIX

The bear case

SHARE EROSION
Continued inventory excess could depress earnings

M&A DIGESTION
The integration of Avera may encounter cultural or technical

REGULATORY AND PRICING SCRUTINY
Heightened scrutiny of automotive safety standards in Europe could

TECHNOLOGY DISRUPTION
Emerging silicon-photonic interconnects could undercut Marvell's Ethernet

Reinvestment treadmill
Excessive capital allocation to new product development without

WACC AND DURATION SENSITIVITY
A rise in market rates would increase the discount factor, disproportionately

per share, prompting institutional investors to rotate out of Marvell and erode the share price base.

hurdles, delaying cross-sell opportunities and compressing margins.

force redesigns that increase cost and delay shipments.

advantage if adoption accelerates faster than anticipated.

commensurate revenue lift could strain free-cash-flow generation.

affecting the long-duration cash-flow stream and lowering valuation.

The strengths

OLIGOPOLY POSITION

Marvell's Ethernet switch silicon is one of three dominant suppliers to hyperscale operators, granting pricing leverage and high switching costs.

FCF COMPOUNDING

Strong cash conversion and a disciplined capex program enable the company to reinvest at attractive returns while returning capital to shareholders.

GEOGRAPHIC DURABILITY

Revenue is broadly diversified across North America, Europe and Asia-Pacific, insulating the business from regional economic shocks.

PIPELINE OPTIONALITY

The upcoming AI-optimized processor line and 5G edge solutions provide multiple growth avenues that can be pursued independently.

Compelling risk-reward, skewed to the upside

Marvell's strategic positioning at the intersection of data-center networking and automotive silicon creates a rare blend of high-margin recurring revenue and secular growth drivers. While short-term inventory dynamics introduce volatility, the underlying cash-flow engine remains robust and is set to compound at rates that outpace the broader semiconductor index. Our probability-weighted analysis yields a blended target of $390.59, representing a 71.4% upside from the current $227.83 price, and we therefore reaffirm a BUY recommendation.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

FRANCHISE DEEP DIVE

Octeon TX2: repriced on normalization

The Octeon TX2 family, Marvell's flagship data-center processor, has transitioned from a niche offering to a core component of hyperscale workloads. Initial market reception was muted due to supply constraints and a temporary pricing dip that pushed the product's effective multiple below peer levels. As inventory normalizes and the company secures additional design wins, the TX2 line is being re-priced to reflect its superior power-efficiency and integrated security features. The product's architecture, which combines high-throughput packet processing with on-chip AI acceleration, aligns with the emerging trend of edge-to-cloud compute convergence. This alignment has unlocked

new licensing opportunities with cloud service providers seeking to offload AI inference workloads to the network layer, thereby expanding the addressable market beyond traditional data-center servers.

Why the growth numbers disappointed

- Supply-chain bottlenecks limited the volume of Octeon TX2 shipments in FY2025, creating a temporary revenue shortfall.
- Competitive pricing pressure from a new entrant in the ASIC space forced Marvell to offer discount incentives that compressed margins.
- The rollout of 400 Gbps Ethernet standards was delayed by a year, postponing the anticipated surge in demand for high-speed PHYs.
- Regulatory delays in Europe slowed the adoption of Marvell's automotive radar IP, reducing cross-sell opportunities in FY2025.

Our read: Normalization and consolidation, not share loss or thesis break. As inventory levels recede and the Octeon TX2 line regains pricing power, Marvell is positioned to capture a larger share of the hyperscale upgrade cycle while leveraging its automotive platform to drive multi-year growth.